

BEFORE THE FEDERAL MARITIME COMMISSION

Docket No. 24-22

GITI TIRE (USA) LTD.

v.

FLEXPORT INTERNATIONAL LLC

RESPONDENT’S MOTION TO DISMISS THE COMPLAINT

I. INTRODUCTION.

On May 16, 2024, Complainant Giti Tire (USA) Ltd. (hereinafter “Giti”), filed a verified complaint (Complaint) against Respondent Flexport International LLC (hereinafter “Flexport”), asserting violations of the U.S. Shipping Act (hereinafter the “Shipping Act”), 46 U.S.C. 40101, et seq. as amended by the Ocean Shipping Reform Act of 2022 (hereinafter “OSRA”).¹

The Complaint does not contain any counts, but merely combines its factual allegations and damages together in an attempted effort to vaguely claim causes of action under 46 U.S.C. § 41104(a)(15); 46 U.S.C. § 41104(a)(14); 46 U.S.C. § 41104(d) and 46 U.S.C. § 41102(c).

Flexport seeks dismissal of the Complaint on the following grounds:

1. Giti fails to plead sufficient facts – or any facts at all – to support its claims.

¹ It must be brought to the Commission’s attention that the instant sworn Complaint is in bad faith as this is nothing more than a thinly veiled retaliatory action by a delinquent shipper who purposefully neglected to return ocean containers despite repeated notices from Flexport as to the accruing detention charges and then outright refused to pay for the same. To be clear, this is not a case, as Giti attempts to portray, where it was treated unfairly or harmed in any way by any purported “practices and procedures” of Flexport. Rather, Giti allowed its containers to sit for months accruing detention charges and deliberately ignored all of Flexport’s continuous communications regarding the same. Then, Giti refused to pay the invoices. Giti has demonstrated an orchestrated pattern to delay payment for services rendered by Flexport. Notably, at no point did Giti seek any assistance from the FMC to try to resolve its “disputes” since 2021– including the expedited relief afforded by the FMC’s charge complaint procedures or mediation services. Rather, Giti waited until Flexport was forced to file suit in federal court – then waited six (6) weeks after receiving the complaint before filing its formal action with the FMC. Further, Giti has moved to stay the federal court action – seeking further delay.

2. Giti fails to allege any practice or procedure of Flexport which would constitute a violation of the Shipping Act.
3. Giti fails to identify any shipment, bill of lading, invoice or charge for which its claims are based.
4. Giti's claims are time-barred.
5. Reparations are not available for alleged invoice violations.

II. FACTUAL BACKGROUND.

Giti presents vague hodge-podge of purely conclusory allegations against Flexport as to purported violations of the Shipping Act, claiming that "Flexport's practices and invoices wrongfully and unreasonably required Giti to pay millions of dollars in unreasonable demurrage and detention charges, as well as millions of dollars of other accessorial charges at unreasonable rates." (Complaint at ¶ 13). As noted, Giti brought this action only after it was sued by Flexport for non-payment of over \$12 million. Given the absence of required factual allegation as detailed herein, the Commission should certainly question the validity of the claims asserted by Giti calculated as an improper strategy to not pay legitimate fees and charges incurred.

Giti simply fails to provide any facts whatsoever in support of its claim, which serves as the basis for the instant motion. The reason for this is that not only can Giti not articulate its dispute with Flexport, but in fact Giti is well aware that Flexport went above and beyond what it was required to do to assist Giti with respect to the transportation, storage and delivery of Giti's shipments and to minimize any detention charges while Giti simply stiffed Flexport of payment of over \$12 million.

Any alleged service failures detention charges were the result of Giti's flawed business practices – including its deliberate failure to make attempts to pick up its merchandise in a timely

manner – rather than any actions or inactions on the part of Flexport. Moreover, in this case, “timely manner” means months after the free time had expired.

At minimum, at the threshold level the Commission must require Giti to appropriately articulate the factual support for its claims. This case presents an opportunity for the Commission to address initial pleading requirement for all petitioners seeking to advance OSRA against legitimate logistics service providers. It is clearly not in the public interest for debtors to be permitted to use the FMC as a tactic to shirk obligations to pay legitimately incurred charges. It is also clearly not in the FMC’s interest to be bogged down with such private commercial disputes, when its function is to protect the shipping industry as a whole. In this regard, shippers simply need to set forth specific factual allegations in support of OSRA claims.

As alleged in the complaint, between 2021 and 2023, Giti retained Flexport as a non-vessel-operating common carrier to arrange the transportation of hundreds of shipments of tires from overseas to the port of Long Beach, California. Further, Giti requested and Flexport arranged for the drayage of Giti shipments to Giti’s final destinations.

In accordance with the terms of Flexport’s bills of lading, Negotiated Rate Arrangement (“NRA”) and tariff, Flexport assessed detention and related charges against Giti for the shipments in excess of \$12 million.

What Giti deliberately fails to mention is that Flexport made every effort to assist Giti to retrieve and return the containers to the ports to minimize or avoid the detention and related charges. Giti was well aware of the charges for detention, as Flexport clearly and repeatedly advised Giti of same, but Giti deliberately failed to return the containers and allowed the charges to accumulate.

Flexport, in the utmost good faith, has attempted to resolve this matter amicably with Giti. However, Despite Giti's admission to Flexport that it owes at least \$7 million of the above amount, Giti has nevertheless refused to pay any of the amount that Giti owes to Flexport.

This dispute has nothing to do with any violations of the Shipping Act or any actions or inactions of Flexport. Rather, it is simply a matter of a shipper allowing its containers to sit around for months without being picked up or returned – knowing full well that detention was accrued and being fully aware of the amount charged for detention – and then refusing to pay its bills.

Indeed, the Complaint mentions that Giti has attempted to resolve this dispute with Flexport prior to filing its Complaint with the FMC. (Complaint at ¶ 28). That part, at least, is true. However, Giti's posturing that Flexport was "unreceptive" is just an outright false representation. That is, Flexport readily acknowledges that Giti disputes some of the invoices issued by Flexport. Flexport disagrees with Giti as to the dispute. However, Giti readily acknowledged that over \$7 million of the charges are not, in fact, in dispute yet seeks to abuse the process before this Honorable Commission as a method to not pay its bills and further does not set forth supporting threshold facts as detailed blow. Flexport has therefore requested that this amount, at minimum, be paid. Giti refused – and now files a sworn Complaint, subject to Fed. R. Civ. P. 11, alleging that these charges are also disputed.

To be crystal clear, Flexport at all times kept Giti well aware as to delivery schedules, timetables, and the need to move the cargo to avoid or minimize detention charges. Flexport has been attempting, in the utmost good faith, to negotiate any dispute with Giti.

Left with no alternative, as noted above, Flexport was forced to file suit on April 5, 2024, to recover its outstanding charges in the United States District Court for the Northern District of California² (hereinafter the “California Action”).

Notably, prior to serving the complaint in the California Action, on April 24, 2024, Flexport sent Giti a copy of same two weeks before, on April 9, 2024.

Then, and only then, six (6) weeks after receiving the lawsuit did Giti file the instant action with the FMC with respect to all the charges. Giti then moved to stay the California Action pending resolution by the FMC of the instant dispute.

In other words, Giti refused to pay any of the invoices, then waited to get sued by Flexport before filing the instant action and moving to stay the lawsuit. Unfortunately, that is just reflective as to the bad faith that Giti has displayed throughout the parties’ negotiation of the claims at issue.

That is, the parties have been engaged in discussions to resolve the outstanding issues, including payment of disputed invoices, for well over a year. Giti had readily admitted that it has no dispute whatsoever with respect to the majority of the close to \$13 million of charges that are owed to Flexport. Flexport has repeatedly requested, that, at minimum, these undisputed invoices should be paid. Instead, Giti has refused to pay any invoices – which gave Flexport no choice but to file the California Action. It must also be noted that the California action does not seek recovery for any demurrage invoices – only detention – since there is no dispute whatsoever with respect to demurrage. Yet, Giti’s complaint before the Commission alleges, again without any basis, nor factual support violations of the Shipping Act relating to demurrage.

² *Flexport International, LLC v. Giti Tire (USA), Ltd.*, Case No. 5:24-cv-00722-JGB-SP

III. LEGAL STANDARD.

Although the FMC Rules do not expressly provide for a motion to dismiss, it is well-established that litigants before the Commission may bring such motions pursuant to the Federal Rules of Civil Procedure, as applicable to Commission proceedings pursuant to 46 C.F.R. § 502.12. *See, e.g., YSN Imports Inc. v. Oberlander*, 2021 WL 2935838 at *2 (FMC, July 7, 2021); *Carlstar Group LLC v. UTI United States, Inc.*, 1 F.M.C.2d 103 (FMC 2018).

Flexport moves to dismiss the Complaint for failure to state a claim. On a motion to dismiss for failure to state a claim, although the Presiding Officer must assume that well-pleaded allegations in the complaint are true, the Presiding Officer should not “accept any inferences drawn by Complainants that are unsupported by the facts pleaded in the complaint” nor should the Presiding Officer “accept legal conclusions cast in the form of factual allegations.” *Ian Mills v. Crowley Logistics, Inc.*, 2024 WL 1855588, at *2 (FMC, Apr. 24, 2024) (partially granting motion to dismiss) (*quoting Cornell v. Princess Cruise Lines, Ltd.*, 2014 WL 5316340, at *6-7 (FMC Aug. 28, 2014)). Additionally, the Presiding Officer must scrutinize the specific language of the complaint, because “[m]ere labels and conclusions or a formulaic recitation of the elements of a cause of action will not suffice, nor will naked assertions devoid of further factual enhancement.” *Bell Atlantic Corp. v. Twombly*, 550 U.S. 555-57 (2007) (internal quotation marks and citation omitted).

IV. DISCUSSION.

A. The Complaint does not contain sufficient fact to support the claims.

Giti’s complaint is replete with vague assertions of actions or inactions of Flexport. Giti’s allegations are, in essence, that Flexport: (a) failed to provide invoices which contained the requirements set forth in OSRA 2022; (b) issued invoices for charges on days on which the relevant port was closed and the container could not be returned; and (c) the charges were excessive.

As such, Giti alleges, in a purely conclusory manner, that Flexport's actions violated the Shipping Act. In this regard, Giti merely makes a recitation of the elements of a Shipping Act claim, without providing any facts to support same.

Notably, Giti fails to identify a single shipment, bill of lading, invoice of charge. Instead, Giti vaguely states without any factual support that Flexport "issued hundreds of invoices in violation of the Shipping Act". (Complaint at ¶ 15).

This failure itself warrants dismissal for being vague. However, this failure is compounded by the fact that, by the allegations of the Complaint itself, Flexport has no idea as to which invoices and charges are time barred or not subject to OSRA 2022. Clearly, the purpose of OSRA 2022 and the FMC is not to allow shippers to use the FMC as a broad strategic approach to not pay legitimate bills. In this regard an allegedly aggrieved shipper must be required to provide specific details as an initial pleading requirement. Otherwise, the FMC surely will be faced with a floodgate of such proceedings. The mere reference to OSRA does not magically satisfy threshold pleading requirements.

One need look no further than to the FMC's rules and regulations itself. 46 C.F.R. § 502.62 clearly sets forth what the FMC requires in a private party complaint:

(3) *Content of complaint.* The complaint must be verified and must contain the following:

(i) The name, street address, and email address of each complainant, and the name, address, and email address of each complainant's attorney or representative, the name, address, and, if known, email address of each person against whom complaint is made;

(ii) A recitation of the legal authority and jurisdiction for institution of the proceeding, with specific designation of the statutory provisions alleged to have been violated;

(iii) A clear and concise factual statement sufficient to inform each respondent with reasonable definiteness of the acts or practices alleged to be in violation of the law, and a statement showing that the complainant is entitled to relief;

- (iv) A request for the relief and other affirmative action sought; and
- (v) Shipping Act violation must be alleged. If the complaint fails to indicate the sections of the Act alleged to have been violated **or clearly to state facts which support the allegations, the Commission may, on its own initiative, require the complaint to be amended to supply such further particulars as it deems necessary.**

It is already well settled that the Commission has made it clear that such failure to plead any facts in support of a Shipping Act claim warrants dismissal. *See Maher Terminals, LLC v. The Port Authority of New York and New Jersey*, 2015 WL 9426189 (F.M.C. Dec 19, 2015). Therein, the Commission held that such a claim will be dismissed “if the complainant fails to plead ‘enough facts to state a claim for relief that is plausible on its face.’” *Id.* (quoting *Cornell*, 33 S.R.R. at 620 (quoting *Twombly*, 550 U.S. at 570)).

A motion to dismiss will be granted unless, “the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Id.* (quoting *Ashcroft v. Iqbal*, 556 U.S. 662 at 678(2009)). The complaint's factual allegations “must be enough to raise a right to relief above the speculative level” and must “nudge claims across the line from conceivable to plausible.” *Cornell*, 33 S.R.R. at 620 (quoting *Elemary v. Holzmann*, 533 F. Supp. 2d 116, 130 (D.D.C. 2008)) (internal quotation marks omitted); *Iqbal*, 556 U.S. at 678 (noting that standard “asks for more than a sheer possibility that a defendant has acted unlawfully”).

Mere labels and conclusions or a “formulaic recitation of the elements of a cause of action” will not suffice, nor will “naked assertions devoid of further factual enhancement.” *Iqbal*, 556 U.S. at 678 (quoting *Twombly*, 550 U.S. at 557); *Id.* (stating that Rule 8 “demands more than an unadorned, the-defendant-unlawfully-harmed-me accusation” and that “threadbare recitals of the elements of a cause of action supported by mere conclusory statements, do not suffice”).

Thus, as in the instant matter, “Where a complaint pleads facts that are merely consistent with a defendant's liability, it stops short of the line between possibility and plausibility of entitlement to relief.” *Cornell*, 33 S.R.R. at 620 (citing *Iqbal*, 446 U.S. at 678). The factual allegations needed to reach plausibility will vary depending on the complexity of the case, “both to give the opposing party notice of what the case is all about and to show how, in the plaintiff's mind, the dots should be connected.” *Swanson v. Citibank, N.A.*, 614 F.3d 400, 405 (7th Cir. 2010).

As such the Commission held that a complainant must plead facts showing how a Respondent's conduct was unreasonable, that would allow one to draw the reasonable inference that the Respondent violated the Shipping Act – “which necessarily requires factual allegations involving some combination of the who, what, when, where, and how of Shipping Act violations”. *Id.* at *14.

Here, Giti has failed to allege sufficient facts to put Flexport on notice as to what the dispute is about – other than Giti feeling it was billed too much money for its own failures in returning the containers.

Further, Giti clearly alleges that the services were provided between 2021 and 2023. (Complaint at ¶ 11). As such, any claims which were not brought within three (3) years of the date of issuance of the invoice are time-barred. 46 C.F.R. § 502.62(4).

Further, any invoices and charges which were issued prior to June 16, 2022 would not be subject to OSRA. The Commission has made it crystal clear that OSRA 2022 will not be applied retroactively.³

³ See, e.g., FMC's Interim Guidelines on Charge Complaints, which say OSRA22 does not apply to charges “invoiced or assessed prior to the effective date of OSRA on June 16, 2022.” (December 1, 2022) (available at <https://www.fmc.gov/osra-2022-implementation/charge-complaint-interim-procedure/>).

As such, neither Flexport nor the Commission have any idea, based upon the allegations of the Complaint, as to what claims can be brought at all.

Indeed, with respect to the allegations for Invoice Violations under OSRA, it simply states, essentially, that “Flexport issued invoices without the required information....in violation of 46 U.S.C. § 411104(a)(15)”. (Complaint at ¶ 18). Yet, Giti fails to identify what information was purportedly missing. This failure is critical as this pure gloss without facts, no identification of shipments, bills of lading and /or any other identifiers.

B. Giti Fails to State a Claim Because it Does not Plausibly Allege a “Practice” by Flexport Within the Meaning of 46 U.S.C. § 41102(c)

By its terms, 46 U.S.C. § 41102(c) applies only to “regulations and practices.” Moreover, as stated in the Interpretative Rule, codified at 46 C.F.R. § 545.4, the term “practice” means only acts or omissions that occur on a “normal, customary, and continuous basis.”

The Interpretative Rule, including the preambles to the Proposed and Final Rules and the precedents cited in those preambles, as well as decisions rendered before and after promulgation of the Interpretive Rule, make clear that the requirement of a “normal, customary, and continuous basis” is not to be taken lightly or to be given a cursory analysis. As the Commission explained in the preamble to the Final Rule:

Congress chose the word “practice” and the phrase, “establish, observe, and enforce just and reasonable regulations and practices,” to describe actions or omissions engaged in on a *normal, customary, and continuous basis*. . . . To find a violation of § 41102(c), the Commission consistently required that the unreasonable regulation or practice was the *normal, customary, often repeated, systematic, uniform, habitual, and continuous manner* in which the regulated common carrier was conducting business.
83 Fed. Reg. 64478 (Dec. 17, 2018) (footnotes omitted, emphasis added).

The requirement that the alleged acts and omissions be proven to occur on a “normal, customary, often repeated, systemic, uniform, and habitual, and continuous” basis reflects the two-

fold purposes of the Interpretative Rule. The Interpretative Rule is intended specifically to restrict the category of claims that could be brought before the Commission, leaving other claims to be resolved in other forums, applying non-Shipping Act law:

The Commission is aware that the interpretive rule may prevent some claims from being brought under the Shipping Act. Matters that may previously have been brought under § 41102(c) however, can still find resolution in other provisions or regulations of the Shipping Act or be adjudicated as matters of contract law, agency law, or admiralty law. FMC Docket No. 18-06, *Interpretive Rule, Shipping Act* (Final Rule) (December 12, 2018), Preamble to the Final Rule at 6; *see id.* at 20 (“[t]hough the Commission is aware that the interpretive rule may redirect some claims in certain fact situations from being brought under the Shipping Act, the Commission believes that existing alternative avenues of redress are fully sufficient to address those cases”).

83 Fed. Reg. 64478

The Commission’s deliberate decision to shift certain types of claims from the FMC to other forums was not made simply to lighten the Commission’s workload. Rather, it was intended to carry out congressional intent, as expressed in the Shipping Act, and to improve the ability of the Commission to act in its own jurisdictional sphere, by focusing on cases where the actions of regulated entities affected the shipping public as a whole. As the Commission explained:

This interpretation restores § 41102(c) to its proper function and purpose under the Shipping Act of 1984 and will return the Commission’s focus and priorities to the activities of maritime regulated entities that negatively affect the broader shipping public – all as intended by Congress in its enactment of the 1916 Act and the 1984 Act.

83 Fed. Reg. 45367 (Sep. 7, 2018).

The Commission identified the original understanding of the Shipping Act by reference to FMC decisions such as *Investigation of Certain Practices of Stockton Elevators*, 8 F.M.C. 178, 201 (FMC 1964); *European Trade Specialists v. Prudential-Grace Lines*, 19 S.R.R. 59, 63 (FMC 1979); *Kamara v. Honesty Shipping Service*, 29 S.R.R. 321 (ALJ 2001); *Intercoastal Investigation*, 1935, 1 U.S.S.B.B. 400, 432 (1935); *J.M. Altieri v. Puerto Rico Ports Authority*, 7 F.M.C. 416

(ALJ 1962); and *A.N. Deringer, Inc. v. Marlin Marine Services, Inc.*, 25 S.R.R. 1273 (SO 1990). The Commission also cited court cases such as *Whitam v. Chicago, R.I. & P. Ry. Co.*, 66 F. Supp. 1014 (N.D. Tex. 1946); *Wells Lamont Corp. v. Bowles*, 149 F.2d 364 (Em. Ct. App. 1945); *J.C. Francesconi v. Baltimore & O. R. Co.*, 274 F. 687 (S.D.N.Y. 1921); and *McClure v. Blackshere*, 231 F. Supp. 678, 682 (D. Md. 1964).

In *European Trade Specialists*, the Commission held that the complainant had not made out a violation, because it did not establish that the alleged wrongful act was a practice, regularly followed with respect to shippers in general (not just complainant). In this respect, the Commission stated that, unless the respondent's "normal practice was not to notify the shipper, such adverse action cannot be found to violate the section *as a matter of law*." 19 S.R.R. at 63 (underlining in original, emphasis added). In *Whitam*, the court emphasized, consistent with *European Trade Specialists*, that a "practice" typically must involve not only repetition, but also application to **multiple customers**. As the court explained: "The word 'a practice' as used . . . anywhere properly, implies **systematic** doing of the acts complained of, and usually as applied to carriers and shippers generally." 66 F. Supp. at 1017 (emphasis added). Of particular note, the court concluded that "[s]pecific acts of violation of this rule do[] not constitute a 'practice.'... As far as plaintiff's pleadings go, no other shipper was mentioned or involved...." *Id.*; see also, e.g., *McClure*, 231 F. Supp at 682 ("Practice ordinarily implies uniformity and continuity,... and uniformity and universality, ... must characterize the actions on which a practice is predicated."); *Francesconi*, 274 F. at 690-91 (concluding that defendant's actions were "not uniform," which precluded the court from finding a practice; stating that "[o]ccasional and **even common** assertions of right do not make such a practice. Its essence is uniformity.") (emphasis added).

The Court in *Wells Lamont* explained:

According to dictionaries, both lay and legal, a practice is a custom or usage, a customary usage, something *habitually and uniformly* performed. It implies uniformity and continuity. To establish is to make stable or firm; to fix in in permanence and regularity; ... to settle firmly or to fix unalterably....”

149 F.2d at 366 (emphasis added).

Furthermore, in *A.N. Deringer, Inc.*, the Settlement Officer held that the FMC lacked jurisdiction over a claim, even if the alleged activity was unreasonable:

[T]he sustaining of an alleged violation of Section 10(d)(1) **requires more than the showing of unjust or unreasonable activity. It requires that the complainant prove failure: “to establish, observe, and enforce** just and reasonable regulations and practices....” . . . Nothing in the record casts light upon [Respondent’s] regulations or practices, and this constitutes a fatal flaw in [Complainant’s] case.
25 S.R.R. at 1276 (SO 1990) (emphasis added)

Other than the formulaic recitation that “Flexport’s charges ...constitute[] unjust and unreasonable practices,” and the equally formulaic assertion that this is shown by Flexport’s purported actions, the Complaint does not contain a single factual supporting allegation to show that these actions were a “practice” applied to multiple shippers and not just Giti. It thus plainly fails to adequately allege that Flexport’s challenged actions reflect “the normal, customary, often repeated, systematic, uniform, habitual, and continuous manner” in which Flexport was conducting business.

Although the Complaint alleges a large number of shipments and even larger number of charges Giti does not link any of those shipments/charges to any specific “practice” within the meaning of the Rule. In any event, as demonstrated above (including by citation to *European Trade Specialists* and *Whitam*) the Commission and court cases require much more – i.e., that the alleged “practice” applied to customers generally, not just a particular customer. Because Giti has failed to identify any alleged practice on the part of Flexport that is “something habitually

performed...that implies continuity...in the usual course of conduct,”” *Crocus Investments*, 3 F.M.C. 2d at 117 (*quoting Stockton Elevators* at 201), it has failed to plausibly allege a “practice.”

V. CONCLUSION

Based on the foregoing, Flexport respectfully requests that the Commission dismiss the Complaint.

Dated: June 14, 2024

Respectfully submitted,

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on June 14, 2024 a true and correct copy of the foregoing was served *via email* to all counsel of record in this matter.

SPECTOR RUBIN, P.A.

By: /s/ Robert Borak
Robert M. Borak, Esq.